GOVERNMENT OF INDIA

Ministry of Railways

Connecting the Nation, Driving Progress

Confidential and Proprietory

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SHRI NARENDRA MODI

HONORABLE PRIME MINISTER, INDIA



MESSAGE

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SHRI ASHWINI VAISHNAW

HONORABLE MINISTER,
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MESSAGE

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MESSAGE

The Indian Railways is one of the world's largest transportation networks and serves as a lifeline for the nation's economic growth, industrial development, regional connectivity, and social integration. The Ministry of Railways plays a transformative role in modernizing rail infrastructure, enhancing passenger services, strengthening freight logistics, promoting technological innovation, and supporting sustainable mobility across the country.

The Chamber of Commerce and Industries of India (CCI India) recognizes the strategic importance of a modern railway system in facilitating trade, attracting investments, generating employment, and improving national competitiveness. Through policy advocacy, infrastructure partnerships, technology collaboration, investment promotion, startup engagement, skill development, and innovation facilitation, CCI India remains committed to supporting the Ministry's vision of building a world-class railway ecosystem.

This Knowledge Paper provides comprehensive insights into the Ministry's strategic priorities, modernization initiatives, infrastructure projects, policy reforms, investment opportunities, and emerging technologies across high-speed rail, station redevelopment, freight corridors, railway manufacturing, digital transformation, green mobility, safety systems, and logistics integration. It also highlights collaborative pathways where government and industry can jointly accelerate railway innovation and infrastructure development.

The publication is intended to serve as a valuable resource for policymakers, railway organizations, infrastructure developers, investors, manufacturers, technology providers, research institutions, academic organizations, and development partners interested in contributing to India's railway transformation. Through collaborative engagement and knowledge sharing, it seeks to strengthen infrastructure, improve operational efficiency, encourage innovation, and enhance national connectivity.CCI India remains committed to partnering with the Ministry of Railways in building a safe, efficient, technologically advanced, and globally competitive railway network.

Munindra Kumar
Director General
CCI India

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Preface

The Ministry of Railways stands as one of the most consequential institutions of the Indian Republic a vast socioeconomic engine that connects 1.4 billion citizens, underpins supply chains across every major sector, and carries the aspirations of regional development from the Himalayan foothills to the southern coastline. With a network spanning over 68,000 route kilometres, Indian Railways is the world's fourth-largest rail network by size and the single largest employer in the organised sector, providing livelihoods to approximately 1.2 million personnel. Its strategic importance transcends mere transportation: it is an instrument of national cohesion, economic integration, and inclusive growth.

The national development context demands a fundamental transformation of Indian Railways. As India pursues its Viksit Bharat 2047 vision targeting a GDP of USD 30–35 trillion by mid-century the railways must evolve from a heavily subsidised public utility into a high-efficiency, technology-driven, commercially viable infrastructure backbone. The Government's ambitious National Rail Plan (NRP) 2030 envisions 100% electrification, dedicated freight corridors covering 3,000 kilometres, high-speed rail between major cities, and modal freight shift increasing rail's share from the current 27% to over 45% of total freight movement. Capital investments under the Union Budget 2024-25 reached a historic Rs. 2.62 lakh crore a signal of the government's unequivocal commitment to railway modernisation.

This Knowledge Paper has been prepared by CCI India the Chamber of Commerce and Industry of India to provide a rigorous, consulting-grade strategic assessment of the Ministry of Railways and to articulate the specific, high-value collaboration opportunities that CCI India is uniquely positioned to facilitate. The paper synthesises sector intelligence, policy analysis, gap identification, and strategic recommendations into a single authoritative reference document intended for senior government officials, industry leaders, multilateral institutions, and development finance organisations.

CCI India's vision in engaging with the Ministry of Railways is grounded in three foundational commitments: First, to serve as a credible industry-government bridge, translating private sector capabilities and capital into actionable public-private partnership frameworks. Second, to accelerate innovation and startup integration into the railway ecosystem, helping Indian enterprises scale solutions aligned with global best practices. Third, to function as a knowledge partner that provides evidence-based advisory support, capacity building, and policy advocacy that strengthens the Ministry's institutional capabilities in its journey toward operational excellence and financial sustainability.

This paper is intended for Union Ministers, Secretaries to Government of India, NITI Aayog, Senior Bureaucrats, Industry Leaders, Investors, Development Agencies, and International Institutions seeking a comprehensive strategic perspective on India's railway sector transformation.

Chambers of Commerce and Industry (CCI India)

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About CCI India

CCI India (The Chamber of Commerce and Industry of India) is a premier national business chamber dedicated to fostering economic growth, industry development, entrepreneurship, innovation, and investment promotion across India. As the voice of Indian business and industry, CCI India serves as a bridge between government, industry, startups, academia, investors, and civil society, facilitating meaningful collaboration for nation-building and sustainable development.

Through policy advocacy, business facilitation, research, stakeholder engagement, capacity building, and strategic partnerships, CCI India works to create an enabling environment for enterprises of all sizes. The Chamber actively supports key national initiatives such as Startup India, Make in India, Digital India, Atmanirbhar Bharat, Skill India, and Viksit Bharat 2047 by connecting innovative enterprises with government opportunities and promoting inclusive economic development.

CCI India operates through sector-specific councils, industry forums, knowledge platforms, and state-level engagements that address emerging opportunities and challenges across sectors including manufacturing, agriculture, technology, healthcare, education, infrastructure, sustainability, MSMEs, and startups. The Chamber regularly organizes policy dialogues, investment summits, business delegations, workshops, conferences, and knowledge-sharing initiatives to strengthen India's economic ecosystem.

With a strong commitment to innovation, entrepreneurship, and public-private collaboration, CCI India strives to empower enterprises, facilitate investment, enhance competitiveness, and contribute to India's journey toward becoming a globally competitive and economically resilient nation. Its role as a knowledge partner and industry catalyst enables ministries, departments, state governments, startups, and businesses to collaborate effectively in achieving national development objectives.

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1.Introduction to the Ministry of Railways

1.1 Constitutional Mandate and Governance Role

Indian Railways derives its authority from Entry 22 of the Union List in the Seventh Schedule of the Constitution of India, placing rail transportation exclusively within the domain of the Central Government. This constitutional positioning establishes Indian Railways not merely as a public enterprise but as a sovereign institution accountable to Parliament and directly administered by a Cabinet Minister supported by the Railway Board the apex executive body of the Ministry.

The Ministry of Railways exercises governance over approximately 68,103 route kilometres of rail network, 7,325 stations, 13,169 passenger trains, and 8,479 freight trains operating daily. This scale of institutional responsibility is without parallel in any other Ministry, making it one of the most complex administrative portfolios in government. The Ministry operates through a unique structure: the Railway Board functions as both the policy-making authority and the executive management of Indian Railways, combining ministerial governance with operational management in a manner unlike any other department of government.

1.2 Institutional Evolution and National Significance

Indian Railways was established in 1853 when the first passenger train ran between Bombay (Mumbai) and Thane a 34-kilometre journey that marked the dawn of organised transportation in India. Over 170 years, the institution evolved from a colonial utility designed to facilitate resource extraction and troop movement into the nervous system of independent India's economic architecture. Post-independence nationalisations in the 1950s consolidated multiple private railway companies under unified national control, creating the integrated network that today serves as the backbone of domestic commerce, labour mobility, and regional connectivity.

The national significance of Indian Railways cannot be overstated. It transports approximately 23 million passengers daily equivalent to nearly the entire population of Australia making it the largest daily people-mover in the world after China. On the freight side, it carries over 1.5 billion tonnes annually, including critical commodities such as coal, steel, cement, fertilisers, and food grains that sustain India's industrial economy. The Ministry's budget at Rs. 2.62 lakh crore in 2024-25 exceeds the GDP of many developing nations, reflecting the colossal scale of institutional ambition embedded in India's railway modernisation agenda.

1.3 Mandate for Transformation

The Ministry's contemporary mandate extends well beyond operations management. It encompasses the design and implementation of a multi-decade transformation programme that includes infrastructure expansion through Dedicated Freight Corridors (DFCs), high-speed rail deployment under the National High Speed Rail Corporation (NHSRC), station redevelopment under Amrit Bharat Station Scheme, technology-led passenger experience enhancement, and progressive financial restructuring to reduce dependence on budgetary support. Each of these imperatives creates specific collaboration opportunities for industry partners, research institutions, technology innovators, and development finance providers precisely the ecosystem constituency that CCI India is positioned to mobilise.

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2.Historical Timeline of the Ministry of Railways

2.1 Key Milestones and Institutional Evolution

Period	Milestone / Reform	Strategic Significance
1853	First passenger train: Bombay–Thane	Initiated organised rail transport; colonial infrastructure for commerce and military mobility
1947–1952	Post-independence nationalisation of 42 railway companies	Created unified national network; strategic asset for nation-building and economic integration
1951	Formation of Railway Zones (initially 6, now 18)	Administrative decentralisation enabling geographic operational management at scale
1964	Introduction of Rajdhani Express	Pioneered premium intercity rail travel; established speed and service benchmarks
1984	Konkan Railway Project commenced	First major PPP-inspired rail project through difficult terrain; engineering milestone
1995	Indian Railways Catering and Tourism Corporation (IRCTC) established	Commercial subsidiary model for non-core services; foundation of digital ticketing
2002	Online ticketing launched by IRCTC	Democratised access to reservations; eventually became world's largest rail booking platform
2004	Dedicated Freight Corridor Corporation (DFCCIL) incorporated	Strategic shift toward freight modal share recovery; Rs. 1.5 lakh crore investment pipeline
2009	First Mission Electrification targets set	Decarbonisation agenda; energy cost reduction; net zero pathway initiation
2014–2015	Make in India push; Railways opened to 100% FDI	Industry participation framework; global investment attraction in rolling stock and infrastructure
2016	Merger of Railway Budget with Union Budget	Structural reform signalling commercial reorientation; ended 92-year-old separate budget tradition
2019	National Rail Plan 2030 conceptualised	Long-term capacity expansion blueprint; freight modal share, speed upgradation, network expansion

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